WAVERLEY GATEWAY GUIDE

Connecting International Capital

SPAIN

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Madrid	Capital and leading business and financial centre, attracting €15.97 billion, or 51.9%, of Spain's foreign direct investment in 2025	Financial services, information services, real estate, headquarters functions
Catalonia (Barcelona)	Second-largest destination for foreign investment, with €4.51 billion in 2025, and a major Mediterranean port and industrial base	Automotive, chemicals, life sciences, technology, logistics
Aragon (Zaragoza)	Third-largest FDI destination in 2025 at €3.39 billion and site of the €4.1 billion CATL–Stellantis battery gigafactory at Figueruelas	Batteries and electric vehicles, logistics, renewables, data centres
Andalusia	Large southern region with abundant solar resources and Atlantic and Mediterranean ports, attracting €1.36 billion of FDI in 2025	Solar energy, agri-food, tourism, logistics
Valencian Community	Mediterranean manufacturing and port region on the main corridor to France	Automotive, ceramics, agri-food, logistics
Basque Country and the North	Industrial and engineering heartland with its own regional tax system	Advanced manufacturing, steel, energy equipment, wind power supply chain

INVESTOR ENTRY ROUTES

- ICEX–Invest in Spain, the national investment promotion agency, supported by regional development agencies offering site selection and incentive guidance
- Corporate income tax of 25%, with 23% for SMEs (falling to 20% by 2029), 19–21% for micro-enterprises and 15% for new companies and qualifying start-ups
- EU co-financing through the €102 billion Recovery and Resilience Plan, of which €78 billion had been received by August 2026, alongside EU cohesion funds
- Low-cost renewable power: renewables supplied 55.5% of electricity in 2025, and long-term power purchase agreements are widely available
- Euro-area, EU single-market and Schengen membership, with free capital movement under EU rules
- Foreign investment screening for non-EU investors in strategic sectors, with authorisation required before completing qualifying transactions

MARKET-ENTRY OBSERVATION

Spain in November 2026 is one of the euro area's best-performing large economies, with a broad base in services, tourism, manufacturing and renewable energy. GDP grew 2.8% in 2025, roughly double the EU average, and 2.7% year-on-year in the third quarter of 2026, with exports growing faster than imports and employment reaching a record 22.85 million. The Banco de España expects growth of 2.3% in 2026. Public debt fell to 100.7% of GDP in 2025, its lowest since 2020, and the deficit narrowed to 2.18% of GDP. Foreign direct investment totalled €30.76 billion in 2025, led by Luxembourg, the United States and the United Kingdom; it was lower than in 2024 but rebounded strongly in the second half to almost €11 billion a quarter. Flagship projects such as the €4.1 billion CATL–Stellantis battery plant in Aragon show Spain's pull for industrial investment.

Spain's main structural challenge is political fragmentation, which has left the country without a new state budget since 2023 and is complicating the final stage of its EU recovery plan. The minority government's 2027 spending framework was rejected by parliament in July 2026, and the next general election must be held by August 2027. Inflation reached 4.9% in October 2026, driven by energy prices, and unemployment stood at 10.18% in the third quarter. The fundamentals nonetheless remain strong: rolled-over budgets have not prevented deficit reduction, €78 billion of recovery funds has already been received, and abundant renewable power gives Spain a lasting cost advantage. This creates opportunities in energy-intensive industry, data centres that can meet new renewable-sourcing rules, and electrification projects.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Political fragmentation and budget rollover	No new budget has passed since 2023, parliament rejected the 2027 spending framework in July 2026 and an election is due by August 2027	Existing laws and EU frameworks provide continuity; build scenarios for a change of government and track tax proposals of the main parties
Inflation and energy prices	Inflation was 4.9% in October 2026, raising wage and input costs	ECB rate rises are working to contain inflation; secure long-term renewable power contracts, where Spain is among Europe's most competitive markets
Recovery-plan deadlines	The EU Recovery and Resilience Facility closes at the end of 2026, with about €24 billion of Spain's allocation still conditional on reforms	Confirm the status of any recovery-plan co-financing early and identify cohesion-fund alternatives for later project phases
Renewable-sourcing rules for data centres	A draft decree would require new data centres of 1 MW or more to source 80% of hourly power from new renewables	Pair data-centre projects with self-generation or long-term PPAs from the outset; compliant projects benefit from abundant solar capacity
Labour market	Unemployment was 10.18% in the third quarter of 2026, while some technical skills remain scarce	A large labour force of 25.4 million offers availability; partner with vocational and university programmes for specialist skills
Regional regulatory differences	Permits, incentives and some taxes vary between autonomous communities	Compare regional offers with ICEX–Invest in Spain and regional agencies, and engage local authorities early on permitting

INVESTOR RISK NOTE

Spain has a low-risk profile as a large EU, euro-area and Schengen member with diversified growth, falling debt and deep capital markets. Growth of 2.8% in 2025 and 2.7% year-on-year in the third quarter of 2026 has outpaced the euro area, the deficit has narrowed to 2.18% of GDP and debt to 100.7%. The main issue for investors is political: a fragmented parliament has prevented a new budget since 2023, and an election is due by August 2027, so tax and regulatory direction may change with the next government. Energy-led inflation of 4.9% and the end-2026 closure of the EU recovery facility also call for planning. Spain is a FATF member with no grey-list concerns, and non-EU investors in strategic sectors should allow time for foreign investment screening. EU law and the euro provide a stable framework for long-term investment.

MARKET ACCESS

As an EU member, Spain gives investors tariff-free access to the EU single market and all EU free trade agreements, with WTO membership and the EU common trade policy governing trade with third countries. Euro and Schengen membership remove currency risk and border checks with France and Portugal, its main neighbouring markets. Spain's Mediterranean and Atlantic ports and its position close to North Africa make it a natural logistics hub between Europe, Africa and Latin America, where shared language and long-standing business ties give Spanish-based companies an advantage. Exports grew 1.3% quarter-on-quarter in the third quarter of 2026, and Spain's growing renewable surplus and interconnection projects support its ambition to become a clean-energy and industrial hub for southern Europe.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (La Moncloa, Pedro Sánchez)	Leads the minority coalition government and the final phase of the Recovery Plan	Primary reference point for national priorities and strategic projects
ICEX–Invest in Spain	National investment promotion agency providing information, introductions and aftercare to foreign investors	Standard first point of contact for market entry and incentives
Banco de España (Governor José Luis Escrivá)	National central bank within the Eurosystem and banking supervisor; the ECB deposit rate has been 2.50% since September 2026	Relevant for banking, payments and financial-sector matters
Ministry of Economy, Trade and Business (Minister Carlos Cuerpo)	Leads economic policy, trade, the Recovery Plan with Brussels and foreign investment screening	Key counterpart on investment authorisations and EU funds
Ministry of Finance	Responsible for tax policy, budgets and EU payment requests under the Recovery Plan	Counterpart on tax and fiscal matters
Red Eléctrica (Redeia)	Transmission system operator managing grid access and expansion as electricity demand grows	Essential partner for energy-intensive investments and grid connections
Regional governments and development agencies	Autonomous communities such as Madrid, Catalonia and Aragon manage permits and offer their own incentives	Important for site selection, permitting and regional support

CURRENT INTERNATIONAL BUSINESS CHANNELS

The British Chamber of Commerce in Spain, the American Chamber of Commerce in Spain, the German Chamber of Commerce for Spain and the Spanish Chamber of Commerce are the main business associations, alongside the employers' confederation CEOE and regional business organisations. ICEX–Invest in Spain and regional agencies organise investor events and promote Spain internationally. The European Investment Bank and EU recovery and cohesion programmes co-finance energy, transport, digital and industrial projects, and the Spanish public bank ICO provides financing lines for companies. Embassies of major partners maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Spain suits investors seeking scale and diversity within the EU and the euro area: energy-intensive manufacturers and battery and electric-vehicle supply chains attracted by low-cost renewable power; renewable-energy, storage and grid investors; data-centre developers able to meet new renewable-sourcing rules; services, technology and headquarters functions in Madrid and Barcelona; logistics and agri-food companies using Spain's ports and its links to Latin America and North Africa; and tourism and real-estate investors.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage ICEX–Invest in Spain and regional agencies
Compare locations and regional incentive packages, and arrange introductions to authorities in the shortlisted autonomous communities.

STEP 2: Secure power and grid access
Assess grid connection timelines with Red Eléctrica and distribution operators, and negotiate long-term renewable power purchase agreements.

STEP 3: Confirm funding and screening requirements
Check eligibility for recovery-plan and cohesion co-financing, and whether foreign investment screening applies to the transaction.

STEP 4: Plan for the political and tax outlook
Model scenarios for the 2027 general election and possible tax changes, and monitor budget developments.

STEP 5: Build a talent and permitting plan
Partner with vocational and university programmes, and engage regional and municipal authorities early on permits.